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GLOBAL IDEA

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Greater China Technology Hardware

Global AI Transceivers: Industry Demand Likely to be Even Stronger

WHAT'S CHANGED	From	To
Accelink Technologies Co. Ltd. (002281.SZ)		
Price Target	Rmb60.00	**Rmb166.00**
Eoptolink Technology Inc Ltd (300502.SZ)		
Price Target	Rmb460.00	**Rmb710.00**

With demand visibility strengthening materially in recent months, we raise our 2026-28 AI transceiver shipment forecasts and reiterate our positive view on the industry.

Key Takeaways

- Our US team recently raised its PTs on Lumentum to US$900 and Coherent to US$330.
- We reiterate our OW rating on Eoptolink and raise our PT to Rmb710.

Demand/visibility has strengthened materially, led by Lumentum: In April 2026, Lumentum's CEO said hyperscaler demand is accelerating so quickly that the company could be "sold out through 2028" within two quarters. The company expects ~85% CAGR in InP optical lane volume demand (EML, CW, UHP lasers) through 2030.

Momentum is broad-based across AI transceivers: Multiple vendors reported large orders, product launches, and technology demos in March and April, highlighting continued ramps in 800G, accelerating adoption of 1.6T and active development toward 3.2T—all consistent with intensifying AI data-center buildouts and a positive industry outlook.

Forecast revisions skew materially higher: We raise our AI transceiver shipment forecasts to 73 mn units from 53 mn in 2026, to 141 mn from 71 mn in 2027, and to 150 mn from 80 mn in 2028. The larger 2027-28 revisions mainly reflect a more positive view on 1.6T demand. We now forecast AI transceiver TAM to grow from US $18 bn in 2025 to US$102 bn in 2028, or >4 in three years.

Component shortages are the key risk; mix is shifting toward silicon photonics: According to LightCounting, silicon photonics' share of the optical transceiver market rose from 10% in 2018 to 33% in 2024 and is expected to become dominant in 2026. We believe faster penetration reflects both performance gains and EML shortages, which are encouraging alternative solutions. Component shortages remain the key risk to rapid volume growth in 2026-28.

See: Global Technology: AI Transceivers: Growth Dominates Disruption

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Asia Pacific	
Industry View	**In-Line**

AI Transceiver Demand Highly Likely to be Stronger

After Lumentum, an industry leader, indicated that it could be "nearly sold out through 2028," we believe the cycle could be stronger than expected. We therefore raise our AI transceiver shipment forecasts from 53 mn units to 73 mn units in 2026, from 71 mn units to 141 mn units in 2027, and from 80 mn units to 150 mn units in 2028. The significant upward revision in 2027 and 2028 mainly reflects our more positive view on 1.6T demand. After this revision, we now forecast the AI transceiver industry TAM to grow from US$18 bn in 2025 to US $102 bn in 2028, or >4 within three years.

In the US, our Telecom and Networking Equipment team, led by Meta Marshall, recently raised its price targets on Lumentum from US$710 to US$900 and Coherent from US$290 to US$330, driven by a stronger production ramp and increasing margin leverage as supply remains tight, particularly in lasers / pump lasers vs. transceivers.

In Asia, we reiterate our OW rating on Eoptolink and raise our price target to Rmb710. We also raise our price target on Accelink on a more positive industry demand outlook. For TFC, we think the recent rally has partially reflected CPO upside potential, while weaker-than-expected 1Q26 results support keeping our price target unchanged.

Our Key Revisions and MS View vs. Consensus

We summarize our key revisions to AI transceiver estimates below.

Exhibit 1: We Raise our 800G and 1.6T Shipment Forecasts

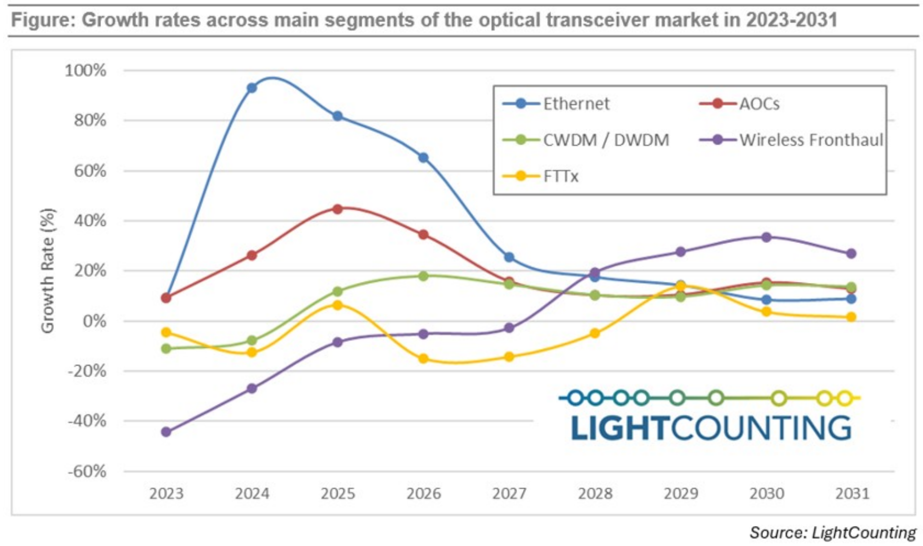
(mn units)			
New Estimates	**2026E**	**2027E**	**2028E**
800G	44	63	64
1.6T	29	79	87
Total	**73**	**141**	**150**
Previous Estimates	**2026E**	**2027E**	**2028E**
800G	34	48	54
1.6T	19	24	27
Total	**53**	**71**	**80**
Pct. of change	**2026E**	**2027E**	**2028E**
800G	29%	31%	19%
1.6T	52%	233%	226%
Total	38%	98%	87%

Source: Company data, Morgan Stanley Research estimates

We believe our forecasts are more bullish than consensus. Compared with LightCounting's 65% growth forecast in 2026, we estimate shipment growth for 800G+1.6T to exceed

200%. For 2027, we forecast shipment growth of 93%, also well above LightCounting's estimate.

Exhibit 2: LightCounting Forecasts Ethernet Optical Transceiver Growth of 65% in 2026 and 20-30% in 2027



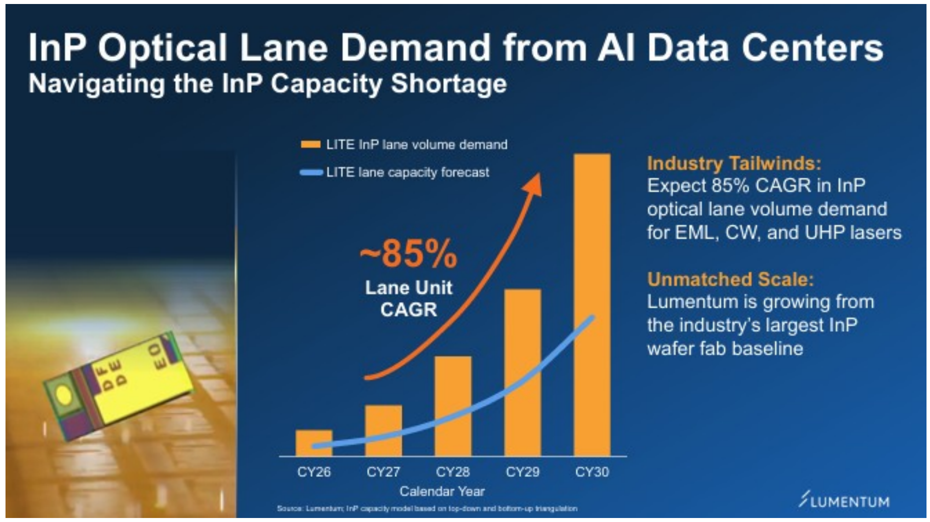
Source: LightCounting, Data as of April 2026

We keep our CPO estimates unchanged from the numbers published on February 26.

Industry Leader's 'Sold out Through 2028' Comment Reflects Strong Momentum

Lumentum CEO Michael Hurlston stated in April 2026 that demand from US hyperscalers for the company's optical components is accelerating so rapidly that the company expects to fill its entire order book through 2028 within just two quarters. In his words: "The capex numbers from the US hyperscalers are enormous and there seems to be no end in sight. We're falling further and further behind the demand. We would be sold out through all of 2028 within two quarters." Per LITE's OFC investor briefing on March 7, 2026, the company expects an ~85% CAGR in InP optical lane volume demand for EML, CW, and UHP lasers through 2030. Coherent has also spoken about scaling InP capacity by 100%+ over the next two years, which should support continued sequential acceleration. Sumitomo and Broadcom have also commented on capacity expansions.

Exhibit 3: Demand Still Outstripping Supply



Source: Lumentum.

Exhibit 4: Significant Ramps in Capacity to Accommodate Demand, But Still Very Much in Shortage

What We Know	
Expansion of Capacity	50%+ in CY26 from LITE
	100% in CY26 / 100%+ in CY27 from COHR
	100% from '24–'26 / 40% from '26–'28 from Sumitomo
	Significant Capacity Expansions from Broadcom
What We Don't Know	
Split of EML / CWLasers	Estimates for CW as % of 1.6T vary from 30% to over 50%

Source: Company data

AI Transceiver Momentum Remains Strong; Optical Supply Constraints Persist

Beyond the positive updates from Lumentum, other AI transceiver companies have also seen a wave of positive developments through OFC and into earnings, driven by surging AI data center demand, major new orders, product launches and technology breakthroughs. Below are several recent optical notes discussing these highlights:

Optical: OFC 2026 Wrap-Up: Bright Lights, Big City (March 19, 2026)

Lumentum: OFC Investor Briefing Wrap-Up: Multiple Ways to Win (March 18, 2026)

Optical: Latest Questions From Investors as Optical Breaks Out (April 20, 2026)

Lumentum: Showing Pricing Power in Margins (May 6, 2026)

Coherent: Executing to Plan (May 7, 2026)

Corning: Springing into 2030 - Thinking Inside and Outside the Box (May 7, 2026)

- Coherent (March 18, 2026 / May 6, 2026): Coherent presented a market-leading roadmap for pluggable transceivers covering 800G (continued ramp), 1.6T (accelerating ramp), and 3.2T (in development). The company also demonstrated an industry-first 400G end-to-end link and introduced a new XPO form factor for high-density applications. On FQ3 earnings, management framed June as a “new inflection point” for revenue growth, driven by accelerating sequential revenue growth, strong demand and improving supply. Management also noted that InP capacity is expected to double by year-end, one quarter earlier than planned.

- AOI (March 9, 2026 / May 7, 2026): On March 9, 2026, AOI received its first volume order for 1.6T data center transceivers, with the initial order totaling more than $200 mn. On March 23, 2026, AOI received a new volume order for 800G single-mode data center transceivers from the same hyperscale customer, totaling more than $53 mn. On April 2, 2026, AOI received an additional upsized $71 mn order for 800G transceivers from the same customer, bringing total orders from this customer to $124 mn since mid-March. FQ1 results were slightly disappointing as capacity was still ramping, perhaps more slowly than expected, but management continued to highlight strong demand conditions.

- Fabrinet (May 4, 2026): Fabrinet reported largely in-line results, with the biggest near-term outperformance in the telco / DCI / scale-across / ZR portfolio. On the call, the company noted: "We could have shipped a lot more if we had those components, you know, without the supply constraints, datacom revenue would have been a new record by a wide margin. While we expect the constraints to get resolved over time, we do have to deal with them right now. In the near term, we anticipate that supply volatility will continue. And, you know, it's in a number of areas. It's not any one component. It's mainly lasers, memory, which I think it's no secret that there's a global shortage of memory. And also certain Asics. So it's across a number of commodities."

- Eoptolink demonstrated its next-generation IMDD 400G per-lambda based 1.6T DR4 OSFP transceiver at OFC 2026, reducing required fiber count by 50% compared to the previous-generation 1.6T DR8 architecture.

- Hyper Photonix unveiled its next-generation 1.6T optical transceiver product line based on 200G per lane Silicon Photonics (SiP) technology at OFC 2026.

- ENET (March 5, 2026): Launched its new 1.6T DR8 OSFP224 optical transceiver designed for AI, HPC, and hyperscale data center environments using 224G electrical signaling, compatible with NVIDIA switches.

- Linktel Technologies (March 18, 2026): Its 800G OSFP FR4 10km and 800G OSFP 2LR4+ 20km dispersion managed transceivers won 2026 Lightwave Innovation Awards, receiving scores of 5.0 and 4.0, respectively, setting a new industry benchmark for stable, long-reach 800G connectivity.

- Siemon (April 28, 2026): Launched a portfolio of 200G, 400G, and 800G PAM4 high-speed optical transceivers to support AI, HPC, and next-generation data center networks, available in OSFP and QSFP DD form factors.

According to *LightCounting*, silicon photonics' share of the optical transceiver market rose from 10% in 2018 to 33% in 2024 and is expected to become the dominant technology in 2026 for the first time. We believe this reflects both silicon photonics' good performance and EML shortages, which are encouraging more end users to adopt silicon photonics solutions.

We Raise our AI Transceiver Industry Forecasts in 2026-2028e

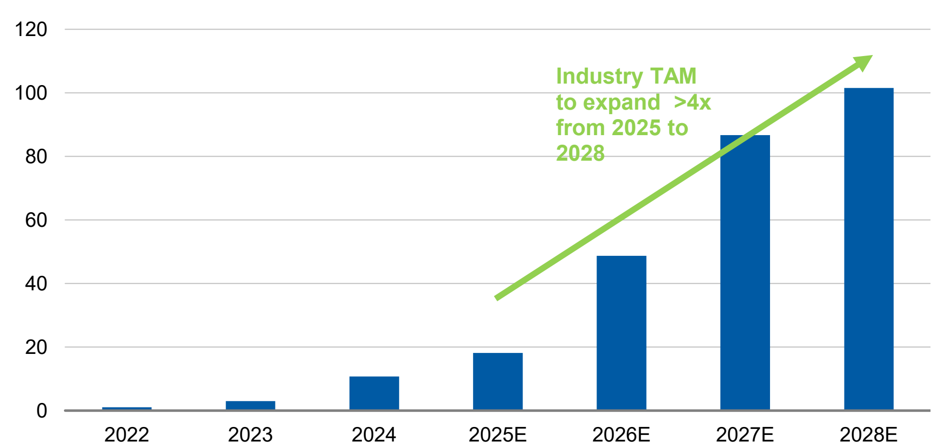
Our positive view on AI transceiver demand remains unchanged, supported by several key fundamental drivers:

1. **AI data center expansion:** The large increase in demand for AI data centers is a primary driver of transceiver growth. As AI workloads expand, connectivity is shifting away from copper and electrical systems toward optical content, requiring advanced optical transceivers for rack-to-rack connections.
2. **Strong AI capex from global leaders:** The top 11 cloud players are now estimated to spend approximately US$735-795bn on cash capex in 2026, representing approximately 60% YoY growth. For example:
   a. We expect Amazon to devote approximately US$200bn to capex in 2026 (+52% Y/Y).
   b. Google/Alphabet has guided for 2026 capex of US$175-185bn (+97% Y/Y at the midpoint).
   c. Meta Platforms has guided for 2026 capex of US$115-135bn (+73% Y/Y at the midpoint).
3. **Continuous new product innovation:** As network architecture becomes more complex and demand for data transmission speed increases, the industry is seeing strong growth in both 800G and 1.6T transceivers. The 1.6T ramp has brought higher ASPs and better margins. 3.2T R&D is also in the pipeline and could become another growth driver in the years ahead.

However, the positive surprises we have observed in March and April suggest demand is even stronger than expected. We therefore revise up our estimates, especially for 1.6T in 2027e and 2028e. For more detail, please see Exhibit 1 .

After this revision, we expect AI transceiver industry TAM to increase from US$18bn in 2025 to ~US$102bn in 2028, or >4x the 2025 level.

Exhibit 5: Global AI Transceiver TAM to expand by >4x from 2025-2028e



Unit in US$ bn, Source: Company Data, Omdia, Morgan Stanley Research (E) estimates

CPO Development Has Become less Surprising

We have observed accelerated CPO development, supported by recent comments from leading US companies during their 2Q FY26 results calls. Since then, CPO developments have become less surprising, and we maintain our bull-base-bear estimates unchanged, as outlined below:

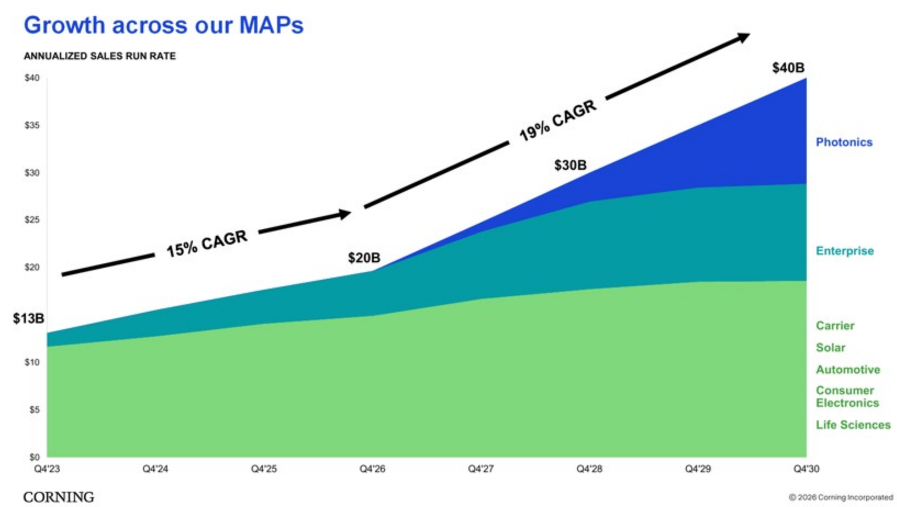
Based on our semiconductor colleagues' analysis, CPO switch volume could grow from 4,712 units in 2025 to 103,889 units in 2028 under our base case scenario.

Under our bull case scenario, CPO switch volume could increase from 2,500 units in 2025 to 50,000 units in 2028.

Under our bear case scenario, CPO switch volume could even increase from 10,000 units in 2025 to 250,000 units in 2028.

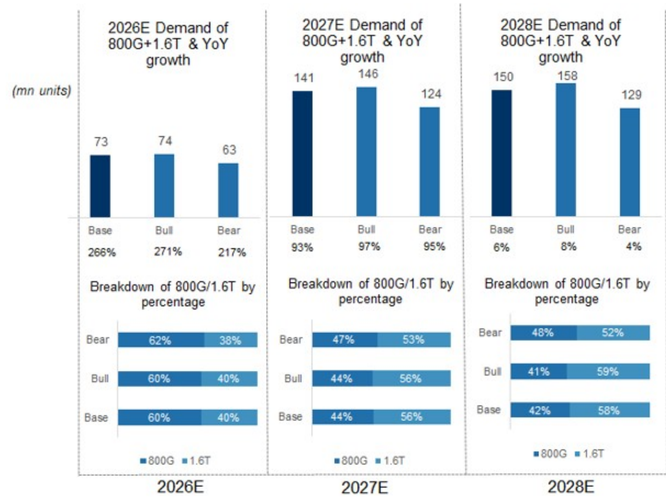
We note that Corning is the latest company to receive a large investment from NVDA, announced at its Analyst Day on May 6, 2026. This investment gives NVDA ample access to fiber / optics for CPO, but the bulk of the impact starts in 2028. Views differ on CPO penetration by 2030, with estimates ranging from 10% to 50%.

Exhibit 6: Corning's Opportunity Roadmap Post NVDA Infusion Notes Relatively Small CPO Impact By 2028



Source: Corning.

Exhibit 7: Our base, bull, and bear cases for 800G/1.6T global demand forecasts in 2026-28e



Source: Company data, Morgan Stanley Research (E) estimates.

Key Stocks

1) AI transceiver players

Eoptolink: We reiterate OW on Eoptolink and raise our price target to Rmb710. We believe the company is a key market share gainer in both the 800G and 1.6T transceiver segments. It is highly likely to generate above-industry growth, which is a key re-rating driver for the stock.

Suzhou TFC: We maintain our Rmb371 price target and EW rating. We believe the recent share price rally has already reflected the potential positive impact from accelerated CPO development. However, the company should also benefit from strong AI transceiver industry growth, which should help support its valuation premium in the A-share market.

Coherent: We see likely better opportunity with Coherent vs. LITE in the medium term if it can execute on share gain opportunities. Coherent has seen little of the margin accretion that LITE has delivered; as its 100% InP capacity expansion comes online, this should support the stock. We see Coherent as more susceptible to volatility around CPO, given its larger transceiver volume, though this could be offset by laser revenue.

Lumentum: LITE is up 900%+ over the past year (vs. the S&P500's 26% increase). Buy-side estimates are calling for a 20x increase in earnings over the next three years (and applying a 20-25x multiple to that). Therefore, we do think that even though the company is executing extremely well on the current market opportunity, the stock would be most at risk, given that estimates need pricing conditions to stay in place through FY28 to support valuation.

LandMark: LandMark is the dedicated SiPh epiwafer supplier for customized transceivers for major US CSPs. We expect its close supply relationship with large-scale CSP customers to drive SiPh revenue growth of 148% and 69% YoY in 2026 and 2027e, respectively, accounting for >80% of total revenue. LandMark recently signed a five-year supply agreement for InP substrates with Sumitomo Electric, which should help alleviate InP substrate supply tightness.

VPEC: VPEC also provides epiwafer services for optical transceivers, mainly for photonic diodes (PDs), but is o extending its offering to laser diodes (LDs) for data transmission scale-across. We expect its AI datacom revenue to double YoY in 2026, while InP substrate supply remains the swing factor for its near-term optical-related production, given the InP substrate export ban in China

Luxshare: Luxshare's 800G optical transceiver module is in mass production, while its 1.6T module is under qualification.

2) PCBs and Connectors

An increase in transceiver demand would benefit related PCB suppliers such as Unimicron, Zhen Ding, and Shennan. These companies are key suppliers of transceiver PCBs, which require more HDI/mSAP technology. Our understanding is that this space, especially for 800G+ transceiver PCBs, is currently capacity constrained, so exposed suppliers should benefit meaningfully in terms of revenue and profitability.

However, investors remain focused on the longer-term shift to CPO. We therefore re-highlight the changes we think could affect our coverage as the industry shifts from discrete transceivers toward CPO architecture.

We believe this shift could pose structural headwinds for PCB and CCL vendors under our coverage, including Shennan Circuits, Zhen Ding, Unimicron, Gold Circuit, and Shengyi Tech, and we will continue to monitor the situation.

Shennan, Zhen Ding, and Unimicron are likely to face more direct pressure from the elimination of HDI/mSAP PCBs used in optical modules, given their relatively higher revenue exposure to this segment.

Meanwhile, Gold Circuit and Shengyi Tech could be adversely affected by the de-spec of switch motherboards under CPO architecture, as optics are co-packaged with networking ASICs on the substrate rather than mounted on the motherboard.

We also expect CPO adoption to be slightly negative for electrical copper cable suppliers we cover, such as FIT and Lotes. That said, we believe copper solutions will still dominate the data center interconnect market over the next couple of years, given their cost advantage and broad supplier base.

In contrast, we see IC substrates as a key beneficiary of the transition to CPO. Co-packaging optics onto IC substrates is expected to drive more complex substrate designs, including larger substrate sizes, higher layer counts, and the adoption of more advanced structures and materials. This would translate into higher substrate area consumption, helping absorb the current oversupply in the ABF substrate market and supporting an accelerated recovery in supplier profitability.

We believe both Unimicron and NYPCB in our coverage will benefit from this trend, given their expertise in producing high-end networking ASIC substrates.

That said, the availability of critical substrate materials, particularly T-glass, will be a key factor to monitor. It could emerge as a supply bottleneck if large-area size substrates become more widely adopted in CPO architecture.

3) Interconnect, testing equipment and network switches

Bizlink

Bizlink was originally viewed as one of the players in the copper camp, but its acquisition of XFS has opened up more opportunities in CPO by enhancing its optical capabilities and customer relationships. Our checks indicate that Bizlink will provide shuffle box assembly for CPO switches.

Blizlink has no exposure to current laser diode based transceivers, but it is working with partner Credo on micro LED-based optical interconnects or ALCs. We view ALC as well suited for 20-30 meter deployments, with better cost performance and power efficiency than mainstream transceivers. We expect ALC shipments to start from 2Q27 at the earliest, per guidance from Credo.

Chroma

Chroma should benefit from the CPO theme through its testing equipment. Our checks indicate that it will provide the testing equipment for Insertion 3 (optical engine testing) and Insertion 4o (optical testing for the switch IC+OE). We expect shipments for pilot capacity to start in 2H26, with more confirmed orders scheduled for 2027. Longer term, Chroma might have more opportunities in Insertion 1 or additional testing processes if existing equipment suppliers cannot deliver the requested performance.

Chroma also has a strong presence in optical testing equipment for transceivers. During its latest 1Q26 earnings call, management said it is seeing very strong orders from customers in this area, with orders continuing to flow in.

Accton

As one of the major network switch ODM direct suppliers, Accton showcased its CPO switch model at the latest OFC in March. We believe Accton is now engaging with potential customers on ODM projects for CPO switches.

4) European stock ideas

STM: STMicro is positioning itself as a supplier for next-gen data centre connectivity by developing its capabilities in silicon photonics and BiCMOS technologies. Both technologies are relevant to CPO and high-speed pluggable transceivers, with STM seeking to address the growing demand for higher bandwidth (800Gbps to 1.6Tbps+) and improved power efficiency in AI clusters. STM views CPO as a solution to the limitations of traditional electrical I/O, which cannot keep up with the bandwidth requirements of AI. By 2030, STM expects a multi-billion-dollar TAM for its silicon photonics foundry services as data centres increasingly adopt these technologies.

How is this being done? From a production and technology rollout perspective, STM is migrating its SiPh technology onto 300mm wafers (at the Crolles, France facility), with first products shipping and production ramping in 2H26. While initially focusing on 800Gb/s and 1.6Tb/s pluggable transceivers, STM is also developing technology for the long-term shift toward CPO, which involves placing optical engines immediately adjacent to high-speed switch ASICs. The core components offered by STM includes Photonic Integrated Circuits (PICs), including the PIC100 to be used by AWS, and Electronic Integrated Circuits (EICs) using STM's own BiCMOS technology for high-speed laser drivers and amplifiers, supporting up to 400Gbps speeds. To support the future move to CPO, STM is developing smaller modulators and exploring through-silicon vias (TSVs) to reduce the power draw and minimise signal loss between the PIC and EIC.

Our view: For a few quarters now, STM has signaled its positioning in high-growth data centre silicon, with silicon photonics already highlighted by the company as a key driver for 2026. Management has already guided to data centre revenues climbing from c. $350m in 2025 to c. $500m in 2026 and then on to c. $1bn by 2030. This is underpinned by increasing adoption of cloud interconnect (photonic ICs and analog mixed signal BiCMOS chips). STM recently announced an extended collaboration with AWS, which intersects opportunities in AI connectivity and is said to deliver multi-billion-dollar sales over the next few years for STM.

Nokia: 8% of Group revenues are from AI & Cloud. The equity story is one of transformation away from sluggish Telco spend to being a key beneficiary of infrastructure capex supporting AI and Cloud expansion (data centers). Nokia's optical and IP network divisions provide a range of solutions for data center customers including coherent pluggables and switching platforms, and benefit from being vertically integrated with new fab capacity in North America being ramped up.

Soitec: Engineered substrate exposure to silicon photonics through Photonics-SOI, used in high-speed data-centre interconnects. We see Soitec as an (in)direct beneficiary of the 800G and 1.6T transceiver ramp and the move toward SiPh while CPO should provide robust growth beyond 2027.

Aixtron: MOCVD tool exposure to InP and GaAs photonics capacity, including EML/CW laser manufacturing. Stronger AI optical demand is driving Photonics revenue >100% with continued strong demand expected thereafter.

Besi: Advanced die attach and hybrid bonding exposure to higher-density optical packaging and emerging CPO interfaces. As optical engines move closer to ASICs, packaging accuracy and 3D integration requirements should rise, supporting Besi's higher-end tool mix and our OW case.

For more details regarding our stock ideas, please refer to the summary table below.

Exhibit 8: Key stocks

Ticker	Current share price (Local currency)	Company	Analyst	Rating	Key reasons for highlighting as stock idea
Strong AI Transceiver Demand Outlook					
300502.SZ	628.99	Eoptolink	Andy Meng	OW	Stronger demand from 1.6T/800G transceiver business, key market share gainer with continuous new product innovation.
300394.SZ	378.19	TFC	Andy Meng	EW	Stronger demand from 1.6T/800G transceiver component business.
3081.TWO	2,835.00	Landmark	Sharon Shih	EW	Key beneficiary of SiPh transceiver epiwafer work for major US CSP. SiPh shipments likely to triple again in 2026e and double in 2027e.
2455.TW	358.50	VPEC	Sharon Shih	EW	Key epiwafer supplier for AI datacom photonic diodes, with AI datacom revenue expected to double YoY in 2026.
002475.SZ	80.15	Luxshare	Sharon Shih	OW	Luxshare's 800G optical transceiver module is in mass production while 1.6T module is under qualification.
3665.TW	2,250.00	Bizlink	Derrick Yang	OW	Key beneficiary of the AEC penetration, since it is an early player along with its partner, Credo, and has accumulated expertise in the downstream assembly process.
COHR.N	403.71	Coherent	Meta Marshall	EW	Likely better opportunity with Coherent vs. LITE in the medium term if can execute on share gain opportunities. Company has seen little in the way of margin accretion that LITE has seen, which as the 100% expansion in InP capacity comes online, should help the stock. Would note we see Coherent as more susceptible to volatility around CPO given larger transceiver volume, even if offsetting laser revenue.
LITE.O	1,030.37	Lumentum	Meta Marshall	EW	As buy-side estimates are calling for a 20x increase in earnings over the next three years (and applying a 20-25x multiple to that), it requires the current favorable pricing conditions to stay in place through FY28 to support valuation.
3037.TW	881.00	Unimicron	Howard Kao	OW	Higher substrate area consumption, helping to absorb the current oversupply in the ABF substrate market and support an accelerated recovery in suppliers' profitability.
8046.TW	847.00	NYPCB	Howard Kao	OW	
SOIT.PA	155.85	Soitec	Nigel van Putten	OW	Engineered substrate exposure to silicon photonics through Photonics-SOI, used in high-speed data-centre interconnects. Beneficiary of the 800G and 1.6T transceiver ramp and the move toward SiPh while CPO should provide robust growth beyond '27.
AIXGn.DE	51.56	Aixtron	Nigel van Putten	EW	MOCVD tool exposure to InP and GaAs photonics capacity, including EML/CW laser manufacturing. Stronger AI optical demand is driving Photonics revenue >100% with continued strong demand expected thereafter.
BESI.AS	258.20	BE Semiconductor	Nigel van Putten	OW	Advanced die attach and hybrid bonding exposure to higher-density optical packaging and emerging CPO interfaces. As optical engines move closer to ASICs, packaging accuracy and 3D integration requirements should rise, supporting Besi's higher-end tool mix.
NOKIA.HE	11.92	Nokia	Terence Tsui	OW	Accelerating revenue growth: The combined optical and IP units grew +11% in Q1, but we see this accelerating to >20% throughout the year, with upside to EBIT estimates from operating leverage becoming more evident.
STMPA.PA	52.34	STMicroelectronics	Lee Simpson	OW	STMicro is positioning itself as a supplier for next gen data centre connectivity by developing its capabilities in silicon photonics (SiPh) and BiCMOS technologies. Both technologies are relevant to CPO and high-speed pluggable transceivers with STM seeking to address the growing demand for higher bandwidth (800Gbps to 1.6Tbps+) and improved power efficiency in AI clusters

Source: Company Data, Morgan Stanley Research

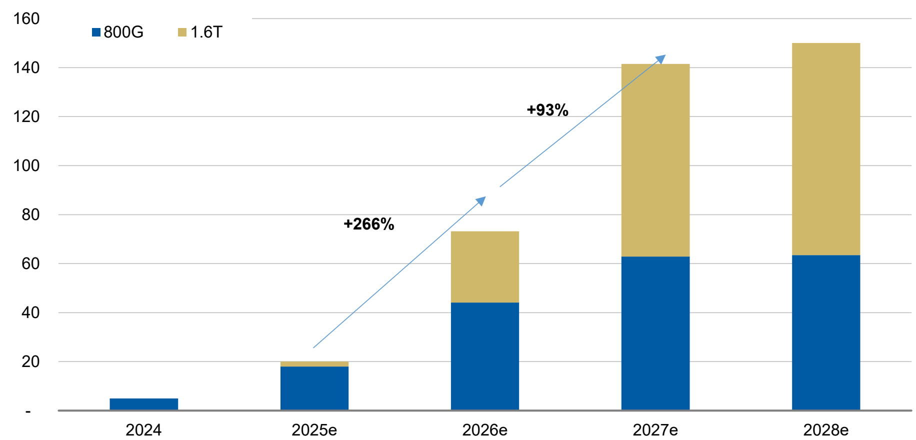
Current share prices as of the end of May 13, 2026.

Revisions to our Estimates

We raise earnings on a more positive demand outlook for 2026-28

Following the change in industry demand, we expect 800G and 1.6T demand to be even stronger in 2026-2028. We now forecast aggregate 800G+1.6T volume to increase by >250% in 2026 and grow another 90% in 2027.

Exhibit 9: Bullish transceiver demand outlook in 2026-28



Source: Company Data, Morgan Stanley Research estimates

In addition to a more positive demand outlook for the next 2-3 years, we also reviewed the latest 1Q26 financial results. Leading transceiver company Eoptolink delivered upbeat revenue growth while earnings were in line. Despite rapid top-line growth, the company highlighted the negative impact of component shortages; absent these shortages, growth momentum could have been even stronger. Cross checking with the financial performance of other AI transceiver industry leaders, we find that companies with large overseas revenue exposure and strong partnerships with top-tier hyperscalers are better positioned to deliver superior growth.

For TFC and Accelink, relatively weaker 1Q26 financial performance also supports our more conservative stance on the stocks. However, if industry demand remains strong, these two companies are also likely to benefit and deliver better growth in the coming quarters.

Exhibit 10: Summary of 1Q26 results

		Actual				MS estimates				Diff%			
Ticker	Company	1Q26 Revenue	1Q26 Gross profit	1Q26 OP	1Q26 Net profit	1Q26 Revenue	1Q26 Gross profit	1Q26 OP	1Q26 Net profit	1Q26 Revenue	1Q26 Gross profit	1Q26 OP	1Q26 Net profit
300502.SZ	Eoptolink	8,338	4,099	3,835	2,780	7,117	3,453	3,118	2,793	17%	19%	23%	0%
300394.SZ	TFC	1,330	753	606	492	1,889	940	735	644	-30%	-20%	-17%	-24%
002281.SZ	Accelink	2,773	744	338	240	2,886	654	322	284	-4%	14%	5%	-15%

Source: Company Data, Morgan Stanley Research estimates

Combining our upward volume revisions with the latest 1Q26 results, we revise up our earnings forecasts for the three companies, as shown in Exhibit 11 .

Exhibit 11: Summary of changes to earnings estimates (LC mn)

Ticker	Company		New 2026E	New 2027E	New 2028E	Old 2026E	Old 2027E	Old 2028E	Estimate Changes % 2026E	Estimate Changes % 2027E	Estimate Changes % 2028E
300502.SZ	Eoptolink	**Revenue**	**54,315 e**	**91,895 e**	**112,719 e**	**45,320 e**	**54,363 e**	**65,900 e**	**20%**	**69%**	**71%**
300502.SZ		Gross profit	26,533 e	43,524 e	52,799 e	21,986 e	24,250 e	29,645 e	21%	79%	78%
300502.SZ		Net profit	18,559 e	33,511 e	40,563 e	17,667 e	19,285 e	23,555 e	5%	74%	72%
300502.SZ		**Adjusted EPS**	**18.67 e**	**33.71 e**	**40.81 e**	**17.77 e**	**19.40 e**	**23.70 e**	**5%**	**74%**	**72%**
300394.SZ	TFC	**Revenue**	**10,291 e**	**14,604 e**	**19,308 e**	**10,194 e**	**14,493 e**	**19,186 e**	**1%**	**1%**	**1%**
300394.SZ		Gross profit	5,011 e	6,900 e	9,028 e	4,997 e	6,823 e	8,944 e	0%	1%	1%
300394.SZ		Net profit	3,443 e	4,785 e	6,221 e	3,446 e	4,726 e	6,157 e	0%	1%	1%
300394.SZ		**Adjusted EPS**	**4.43 e**	**6.16 e**	**8.00 e**	**4.43 e**	**6.08 e**	**7.92 e**	**0%**	**1%**	**1%**
002281.SZ	Accelink	**Revenue**	**15,496 e**	**20,836 e**	**27,479 e**	**16,257 e**	**20,413 e**	**24,596 e**	**-5%**	**2%**	**12%**
002281.SZ		Gross profit	4,070 e	5,494 e	7,256 e	3,686 e	4,604 e	5,466 e	10%	19%	33%
002281.SZ		Net profit	1,856 e	2,726 e	3,653 e	1,598 e	1,986 e	2,365 e	16%	37%	54%
002281.SZ		**Adjusted EPS**	**2.30 e**	**3.38 e**	**4.53 e**	**1.98 e**	**2.46 e**	**2.93 e**	**16%**	**37%**	**55%**

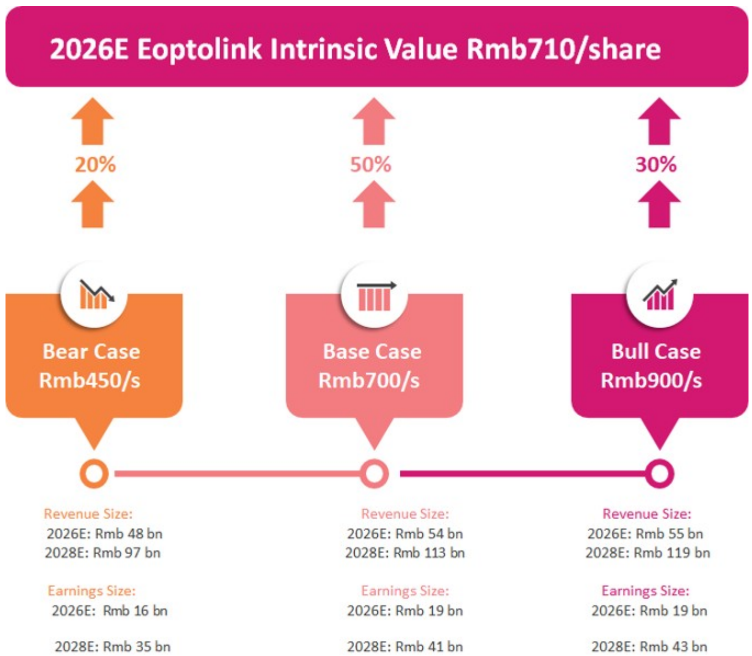
Source: Morgan Stanley Research estimates

Ticker	Company	Reason for earnings estimate changes
300394.SZ	TFC	• We keep our 2026 forecast largely unchanged, as the upward revision to industry demand is largely offset by the 1Q26 results miss. We slightly raise our 2027-28 estimates by 1% to reflect strong growth momentum in AI transceiver demand.
300502.SZ	Eoptolink	• We expect component shortages to be gradually resolved, allowing the company to achieve stronger growth in coming quarters. We raise our 2026 net income estimate by 5%. For 2027-28, we raise our earnings estimates more aggressively, as the company should capture more growth opportunities.
002281.SZ	Accelink	• Following 1Q26 results, we raise our 2026 forecast by 16% to reflect the upward revision to industry demand and the 1Q26 OP beat. For 2027-28, we raise our estimates by 37-55% to reflect a more positive demand outlook.

Valuation

Given high uncertainty around whether and when a CPO breakthrough can be achieved, we have decided to apply a probability-weighted bull-base-bear valuation methodology (30% bull, 50% base, 20% bear). In each scenario, we use a residual income (RI) model to derive intrinsic value. Growth, margin, and return assumptions differ by scenario, while some key assumptions remain the same across all the three scenarios, including 1) a cost of equity of 10%, and 2) a terminal growth rate of 3.5%.

Exhibit 12: Eoptolink: Our probability-weighted bull-base-bear valuation



Source: Morgan Stanley Research estimates.

Taking Eoptolink as an example, in our base case scenario, we assume the CPO breakthrough will arrive in 2027 or later while the company's revenue increases from Rmb54bn in 2026 to Rmb113bn in 2028 with earnings increasing from Rmb19bn to Rmb41bn over the same period. The earnings CAGR could reach 11% in 2028-2036e.

In our bull case scenario, we forecast that the CPO breakthrough is further delayed, while NPO technology matures ahead of that. As a result, the company's revenue increases from Rmb55bn in 2026 to Rmb119bn in 2028, with earnings increasing from Rmb19bn to Rmb43bn over the same period. The earnings CAGR could reach 14% in 2028-2036e.

In our bear case scenario, we expect CPO to achieve an earlier-than-expected breakthrough. As a result, the company's revenue grows more slowly, from Rmb48bn in 2026 to Rmb97bn in 2028, with earnings increasing from Rmb16bn to Rmb35bn over the same period. The earnings CAGR could be 7% in 2028-2036e.

The probability-weighted bull-base-bear valuation yields an intrinsic value of Rmb710/ share for Eoptolink.

We apply similar approaches for TFC and Accelink and derive the probability-weighted bull-base-bear intrinsic values shown in Exhibit 13 .

- For our base case, we expect global industry demand for high-end transceivers (800G + 1.6T) to grow from 73mn units in 2026e to 141mn units in 2027e and 150mn units in 2028e, with CAGR reaching 43% in 2026-2028e (was 23%).
- For our bull case, we now expect global industry demand for high-end transceivers (800G + 1.6T) to grow from 74mn units in 2026e to 146mn units in 2027e and 158mn units in 2028e, with CAGR reaching 46% in 2026-2028e (was 27%).
- For our bear case, we now expect global industry demand for high-end transceivers (800G + 1.6T) to grow from 63mn units in 2026e to 124mn units in 2027e and 129mn units in 2028e, with CAGR reaching 43% in 2026-2028e (was 16%).

Changes in net profit CAGR over 2025-35e are the key driver of changes in scenario values, as shown in Exhibit 14 .

Exhibit 13: Summary of probability-weighted bull-base-bear valuations for Eoptolink, TFC and Accelink

Eoptolink			TFC			Accelink		
	Weight	RI Value		Weight	RI Value		Weight	RI Value
Base Case	50%	700	Base Case	50%	350	Base Case	50%	160
Bull Case	30%	900	Bull Case	30%	500	Bull Case	30%	220
Bear Case	20%	450	Bear Case	20%	230	Bear Case	20%	100
Weighted Avg. RI Value	**100%**	**710**	**Weighted Avg. RI Value**	**100%**	**371**	**Weighted Avg. RI Value**	**100%**	**166**

Source: Morgan Stanley Research estimates

Exhibit 14: Net profit CAGR assumptions over 2025-35e for Eoptolink, TFC and Accelink

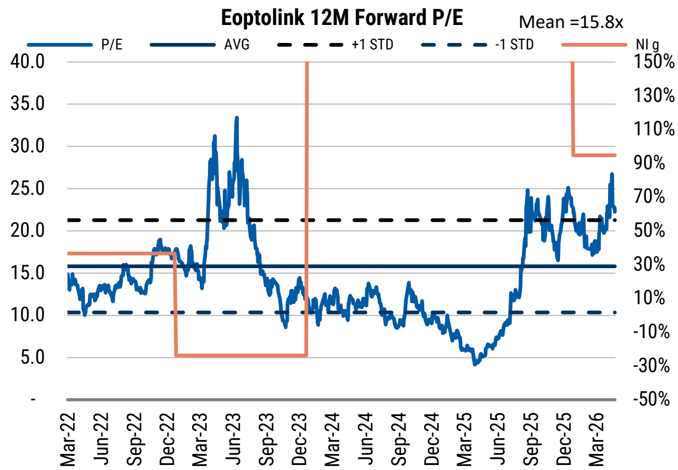
Eoptolink	New	Old	TFC	New	Old	Accelink	New	Old
Base Case	25%	20%	Base Case	30%	31%	Base Case	31%	14%
Bull Case	28%	24%	Bull Case	34%	37%	Bull Case	36%	25%
Bear Case	20%	15%	Bear Case	25%	26%	Bear Case	25%	11%

Source: Morgan Stanley Research estimates

Forward P/E valuation range

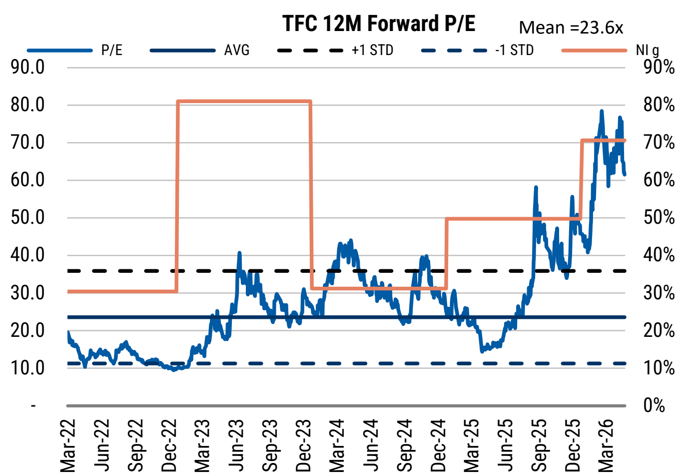
Reflecting rising share prices for Eoptolink, TFC and Accelink, valuations have increased. For example, since the beginning of 2025, Eoptolink's 12-month forward P/E has risen from 8x to 22x. If we compare current valuations to historical ranges, both Eoptolink and TFC are now trading above +1 SD.

Exhibit 15: Eoptolink - Forward P/E



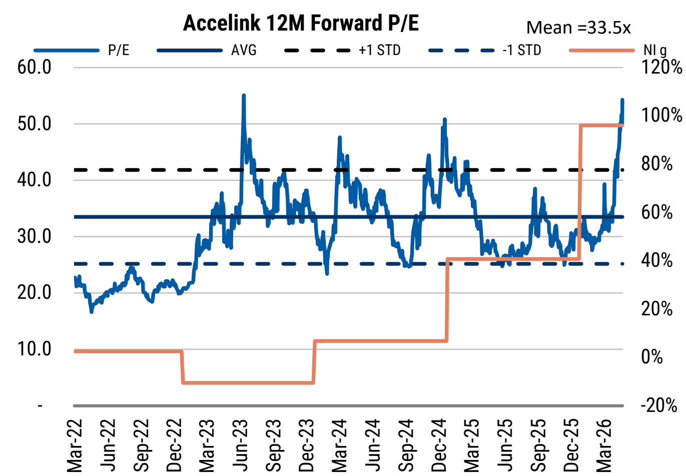
Source: Factset, company data, Morgan Stanley Research estimates

Exhibit 16: TFC – Forward P/E



Source: Factset, company data, Morgan Stanley Research estimates

Exhibit 17: Accelink – Forward P/E



Source: Factset, company data, Morgan Stanley Research estimates

Price Target Changes

Given high uncertainty around whether and when a CPO breakthrough can be achieved, we have decided to apply a probability-weighted valuation methodology – 30% bull, 50% base, 20% bear. This skew reflects the expected timeline for large-scale CPO adoption. We acknowledge that CPO represents a structural architectural shift and a credible long-term risk to pluggable transceivers. However, given constraints around manufacturing yield, thermal complexity, cost, ecosystem maturity, and serviceability, we believe the impact will remain limited in the medium term under our base case.

Our assumptions for cost of equity (RFR, beta, risk premium) and terminal growth rate are unchanged.

Exhibit 18: Summary of price target changes

Ticker	Company	Curr	PT Old	PT New	% Chg
300502.SZ	Eoptolink	RMB	460.00	710.00	54%
300394.SZ	TFC	RMB	371.00	371.00	0%
002281.SZ	Accelink	RMB	60.00	166.00	177%

Source: Morgan Stanley Research estimates

Ticker	Company	Reason for price target changes
300502.SZ	Eoptolink	• We view Eoptolink as a key market share gainer in both the 800G and 1.6T transceiver segments. It is highly likely to generate above-industry growth, which is a key re-rating driver for the stock.
300394.SZ	TFC	• We keep TFC's price target unchanged given limited revisions to earnings.
002281.SZ	Accelink	• We raise our price target on Accelink following our increased earnings estimates.

Revisions to our bull and bear case scenario values

We summarize the changes to our bull, base and bear case scenario values in the table below. We revise our bull and bear case scenario values for the same reasons discussed above in the price target changes section.

Exhibit 19: Summary of changes to scenario values

Ticker	Company		Value Bull	Value Base	Value Bear
300502.SZ	Eoptolink	New	**900.0**	**700.0**	**450.0**
300502.SZ		Old	600.0	450.0	275.0
		Chg%	50%	56%	64%
300394.SZ	TFC	New	**500.0**	**350.0**	**230.0**
300394.SZ		Old	500.0	350.0	230.0
		Chg%	0%	0%	0%
002281.SZ	Accelink	New	**220.0**	**160.0**	**100.0**
002281.SZ		Old	100.0	45.0	35.0
		Chg%	120%	256%	186%

Source: Morgan Stanley Research estimates

RI Models

We summarize our base case RI models in the tables below

Exhibit 20: TFC: base case RI model

TFC (300394.SZ)
Residual Income Valuation

	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E
Total equity	**8,412**	**12,268**	**17,199**	**18,919**	**21,187**	**23,937**	**27,159**	**31,188**	**36,023**	**41,825**	**48,787**
Total revenue	10,291	14,604	19,308	26,066	34,368	42,960	53,700	67,152	80,583	96,699	116,039
Net Profit	**3,443**	**4,785**	**6,221**	**8,602**	**11,341**	**13,747**	**16,110**	**20,146**	**24,175**	**29,010**	**34,812**
Return on Equity	62.5%	56.9%	50.7%	50.0%	59.9%	64.9%	67.3%	74.2%	77.5%	80.5%	83.2%
Residual Income	**2,892**	**3,944**	**4,994**	**6,882**	**9,450**	**11,629**	**13,716**	**17,430**	**21,056**	**25,407**	**30,629**
Equity Value	**272,098**										
No. of Shares	777										
Projected Price (EoY Rmb)	**350.0**										
P/E (x)	**64.5**										
P/B (x)	**26.4**										

Source: Morgan Stanley Research estimates

Exhibit 21: Eoptolink: base case RI model

Eoptolink (300502.SZ)
Residual Income Valuation

Rmb mn	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E
Total Equity	**35,629**	**67,054**	**103,852**	**125,764**	**152,059**	**182,299**	**217,074**	**257,065**	**302,895**	**353,308**	**407,563**
Total revenue	54,315	91,895	112,719	135,262	162,315	186,662	214,661	246,860	282,902	311,192	334,905
Net profit	**18,559**	**33,511**	**40,563**	**40,579**	**48,694**	**55,999**	**64,398**	**74,058**	**84,871**	**93,358**	**100,472**
ROE %	102.7%	94.1%	60.5%	39.1%	38.7%	36.8%	35.3%	34.1%	33.0%	30.8%	28.4%
Residual Income	**16,752**	**29,948**	**33,858**	**30,194**	**36,118**	**40,793**	**46,169**	**52,351**	**59,164**	**63,068**	**65,141**
Equity Value	**695,808**										
Shares outstanding	994										
Per share value (RMB)	**700.0**										
Implied P/E (x)	**37.5**										
Implied P/B (x)	**19.5**										

Source: Morgan Stanley Research estimates

Exhibit 22: Accelink: base case RI model

Accelink (002281.SZ)
Residual Income Valuation

Rmb mn	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E
Total Equity	**11,581**	**13,690**	**16,517**	**17,704**	**19,188**	**21,043**	**23,361**	**26,148**	**29,461**	**33,270**	**37,650**
Total revenue	15,496	20,836	27,479	34,349	42,936	53,670	67,088	80,640	95,840	110,217	126,749
Net profit	**1,856**	**2,726**	**3,653**	**4,566**	**5,707**	**7,134**	**8,918**	**10,719**	**12,740**	**14,651**	**16,849**
ROE %	18.3%	23.5%	26.7%	27.6%	32.2%	37.2%	42.4%	45.9%	48.7%	49.7%	50.6%
Residual Income	**841**	**1,568**	**2,284**	**2,914**	**3,937**	**5,216**	**6,814**	**8,383**	**10,125**	**11,705**	**13,522**
Equity Value	**129,069**										
Shares outstanding	807										
Per share value (Rmb)	**160.0**										
P/E (x)	**69.6**										
P/B (x)	**11.1**										

Source: Morgan Stanley Research estimates

Accelink: Financial Summary

Exhibit 23: Accelink: Financial Summary

Accelink (002281.SZ)

Financial Summary

Profit and Loss Statement	2025	2026E	2027E	2028E
Net Sales	**11,929**	**15,496**	**20,836**	**27,479**
COGS	(9,134)	(11,427)	(15,342)	(20,223)
Gross Profit	**2,795**	**4,070**	**5,494**	**7,256**
Selling	(299)	(388)	(479)	(605)
ADM	(210)	(302)	(417)	(522)
R&D	(1,039)	(1,172)	(1,458)	(1,924)
Operating Income	**1,220**	**2,174**	**3,098**	**4,151**
Finance costs, net	7	(12)	-	-
Investment income	4	(4)	-	-
Others	(205)	(53)	-	-
Pre-tax Income	**1,026**	**2,105**	**3,098**	**4,151**
Income Tax	(94)	(257)	(372)	(498)
Profit for the year	**932**	**1,848**	**2,726**	**3,653**
Minority interests	(14)	(7)	-	-
Net Income	**946**	**1,856**	**2,726**	**3,653**
EPS	**1.17**	**2.30**	**3.38**	**4.53**
EBITDA	**1,680**	**2,756**	**3,841**	**5,112**

Balance Sheet	2025	2026E	2027E	2028E
CCE	4,442	4,713	5,185	6,128
Inventory	5,746	7,189	9,651	12,722
Trade receivables	1,754	2,279	3,064	4,041
Other current assets	486	486	486	486
Total current assets	**12,428**	**14,667**	**18,386**	**23,377**
Net PPE	3,036	3,254	3,411	3,450
Other non-current assets	879	879	879	879
Total non-current assets	**3,915**	**4,132**	**4,289**	**4,328**
Trade payables	4,123	5,159	6,926	9,130
Other current liabilities	1,442	1,442	1,442	1,442
Total current liabilities	**5,565**	**6,600**	**8,368**	**10,572**
Borrowings - long term	276	276	276	276
Other non-current liabilities	356	356	356	356
Total non-current liabilities	**632**	**632**	**632**	**632**
Net Assets	**10,145**	**11,566**	**13,675**	**16,502**
Paid-in capital	291	291	291	291
Capital reserves	9,855	11,291	13,400	16,226
Total shareholder's equity	**10,145**	**11,581**	**13,690**	**16,517**

Cash Flow Statement	2025	2026E	2027E	2028E
Cashflow from operations	**1,445**	**1,491**	**1,989**	**2,770**
Net income	946	1,856	2,726	3,653
Depreciation & Amortization	461	582	743	961
Change in working capital	724	(932)	(1,481)	(1,844)
Others	(686)	(15)	-	-
Cashflow from investing	**(299)**	**(800)**	**(900)**	**(1,000)**
Capex	(787)	(800)	(900)	(1,000)
Others	488	-	-	-
Cashflow from financing	**179**	**(420)**	**(617)**	**(827)**
Net borrowings	31	-	-	-
Dividend paid	(214)	(420)	(617)	(827)
Others	362	-	-	-
Changes in cash	**1,302**	**271**	**472**	**943**

Ratio Analysis	2025	2026E	2027E	2028E
Growth %				
Net Sales	44%	30%	34%	32%
Gross Profit	50%	46%	35%	32%
EBIT	61%	78%	42%	34%
EBITDA	56%	64%	39%	33%
Net income	43%	96%	47%	34%
Margins %				
Gross Margin	23%	26%	26%	26%
EBIT Margin	10%	14%	15%	15%
EBITDA Margin	14%	18%	18%	19%
Net Profit Margin	8%	12%	13%	13%
Retrun %				
ROE	10%	17%	22%	24%
ROA	6%	11%	13%	15%
Gearing %				
Net Debt/Equity	-41%	-38%	-36%	-35%
Liabilities/Equity	61%	62%	66%	68%

Segment Analysis	2025	2026E	2027E	2028E
Revenue				
Transmission	**3,412**	**4,435**	**5,766**	**6,919**
Access & datacom	**8,463**	**11,002**	**15,004**	**20,488**
Access	5,400	7,020	9,828	13,759
Datacom	3,063	3,982	5,176	6,729
Others	54	60	66	72
Revenue YoY%				
Transmission	**10%**	**30%**	**30%**	**20%**
Access & datacom	**66%**	**30%**	**36%**	**37%**
Access	80%	30%	40%	40%
Datacom	46%	30%	30%	30%
Others	-21%	10%	10%	10%
Revenue Mix%				
Transmission	**29%**	**29%**	**28%**	**25%**
Access & datacom	**71%**	**71%**	**72%**	**75%**
Access	45%	45%	47%	50%
Datacom	26%	26%	25%	24%
Others	0%	0%	0%	0%
GPM%				
Transmission	26.5%	30.0%	30.0%	30.0%
Access	24.0%	30.0%	30.0%	30.0%
Datacom	18.0%	15.0%	15.0%	15.0%

Valuation	2025	2026E	2027E	2028E
P/E	169.5	86.4	58.8	43.9
P/B	15.8	13.8	11.7	9.7
P/S	13.4	10.3	7.7	5.8
EV/EBITDA	97.1	59.2	42.5	31.9
Dividend Yield	0.1%	0.3%	0.4%	0.5%

Source: Company data, Morgan Stanley Research (E) estimates

Risk Reward – Accelink Technologies Co. Ltd. (002281.SZ)

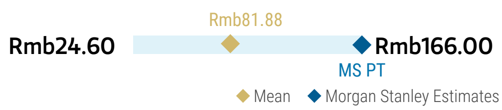
Fundamentals weaker vs. industry peers; UW

PRICE TARGET Rmb166.00

Residual income model, probability-weighted 30% bull, 50% base, 20% bear - skew reflects expected timeline for large-scale CPO application.
Key assumptions:

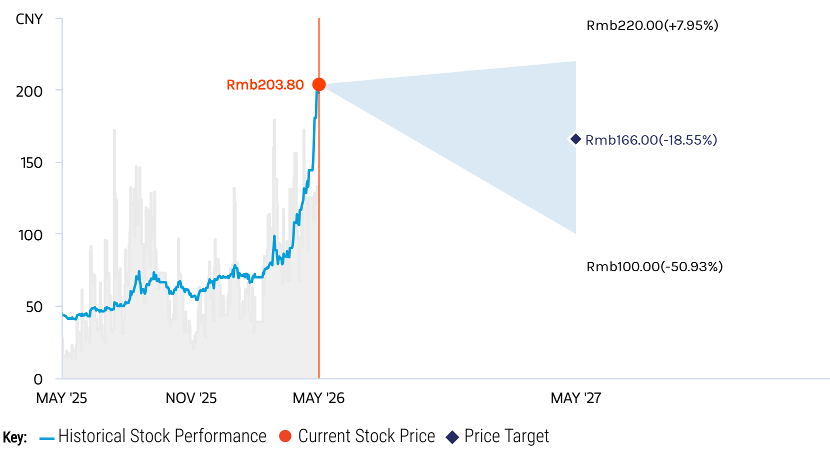
- CoE and terminal growth rate: 10% and 3.5% across scenarios
- High-end transceivers demand CAGR in 2026-2028e: bull 46%, base 43%, bear 43%
- 2025-35e net profit CAGR: bull 36%, base 31%, bear 25%.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART

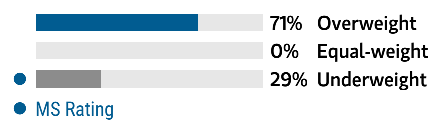


Source: Refinitiv, Morgan Stanley Research

UNDERWEIGHT THESIS

- Accelink derives 70% of its revenue from the domestic market. We see a low chance of significant medium- to long-term growth in view of: 1) limited growth of telco capex, 2) still-high transceiver inventory at telecom equipment vendors, and 3) margin pressure stemming from more intense competition.
- Datacom has become a new growth driver, but a lack of US cloud exposure could pressure Accelink's pricing and revenue sustainability.
- After the recent share price correction, the stock is still trading above 54x 2026e PE, which is not attractive vs most peers. We therefore maintain our UW rating.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power: *Negative*

View descriptions of Risk Rewards Themes here

BULL CASE Rmb220.00

54x bull case 2027e EPS

Accelerated domestic networking spending and stronger 800G and 1.6T ramp-up: We assume accelerated domestic networking spending as well as stronger demand for 800G and 1.6T, which would be key catalysts for the company in 2026-2027. CPO disruption arrives after 2028.

BASE CASE Rmb160.00

47x base case 2027e EPS

Decent growth in 2026; limited medium-/long-term upside: Driven by datacom products, we expect strong growth in 2026. Over the long run, we expect limited growth with: 1) transmission network upgrades and share gains in the datacom market, and (2) largely stable GPM. Datacom has become a new growth driver, but a lack of US cloud exposure could pressure pricing and revenue sustainability. CPO to achieve manufacturing breakthrough by 2027 with large-scale application to kick off in 2H27 or 2028.

BEAR CASE Rmb100.00

37x bear case 2027e EPS

Intense competition and weaker-than-expected orders: We assume weak domestic networking spending as well as slower demand for 800G and 1.6T products. Accelink also faces intense competition and pricing pressure, causing it to de-rate further. CPO achieves manufacturing breakthrough in 2H26 and 2027 - disruption arrives earlier than expected.

Risk Reward – Accelink Technologies Co. Ltd. (002281.SZ)

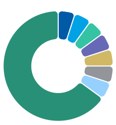
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Transmission revenue YoY (%)	10.0	30.0	30.0	20.0
Access revenue YoY (%)	45.8	30.0	30.0	30.0
Datacom revenue YoY (%)	80.0	30.0	40.0	40.0

INVESTMENT DRIVERS

- New order wins from datacom customers
- Developments in Co-Packaged Optics

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

4/5 MOST | 3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Stronger 800G and 1.6T ramp-up
- Penetration in new datacom customers
- Later breakthrough in CPO
- Faster domestic networking spending

RISKS TO DOWNSIDE

- Slower-than-expected growth in the datacom market
- Weaker-than-expected demand for 800G and 1.6T products
- Earlier breakthrough in CPO or other new technology
- Margin pressure due to intensified competition in the domestic market
- Component shortages

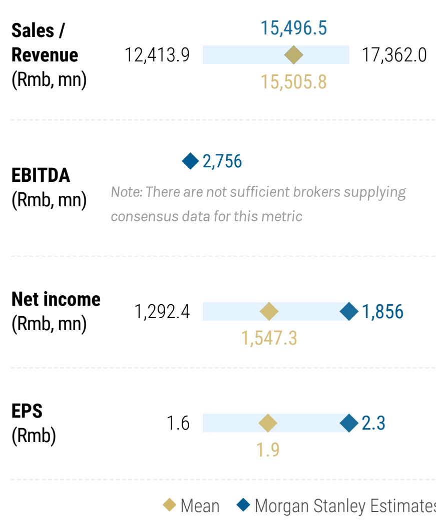
OWNERSHIP POSITIONING

Inst. Owners, % Active 28.4%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Source: Refinitiv, Morgan Stanley Research

Eoptolink: Financial Summary

Exhibit 24: Eoptolink: Financial Summary

Eoptolink (300502.SZ)

Financial Summary

Profit and Loss Statement	2025	2026E	2027E	2028E
Net Sales	**24,842**	**54,315**	**91,895**	**112,719**
COGS	(12,966)	(27,781)	(48,372)	(59,919)
Gross Profit	**11,876**	**26,533**	**43,524**	**52,799**
Selling	(151)	(232)	(551)	(676)
ADM	(239)	(406)	(919)	(1,127)
R&D	(702)	(1,499)	(2,757)	(3,382)
Operating Income	**10,708**	**24,099**	**39,205**	**47,501**
Finance costs, net	318	(2,022)	160	160
Investment income	(8)	2	80	80
Others	(153)	(269)	(20)	(20)
Pre-tax Income	**10,866**	**21,810**	**39,425**	**47,721**
Income Tax	(1,312)	(3,257)	(5,914)	(7,158)
Profit for the year	**9,553**	**18,553**	**33,511**	**40,563**
Minority interests	21	(6)	-	-
Net Income	**9,532**	**18,559**	**33,511**	**40,563**
EPS	**9.59**	**18.67**	**33.71**	**40.81**
EBITDA	**11,107**	**24,598**	**39,803**	**48,200**

Balance Sheet	2025	2026E	2027E	2028E
CCE	8,156	17,705	38,899	69,927
Inventory	7,234	15,500	26,989	33,432
Trade receivables	4,442	9,712	16,431	20,155
Other current assets	684	684	684	684
Total current assets	**20,516**	**43,601**	**83,003**	**124,197**
Net PPE	3,681	4,182	4,583	4,884
Other non-current assets	1,684	1,684	1,684	1,684
Total non-current assets	**5,365**	**5,866**	**6,267**	**6,568**
Trade payables	5,275	11,303	19,680	24,379
Borrowings - short term	4	4	4	4
Other current liabilities	1,617	1,617	1,617	1,617
Total current liabilities	**6,896**	**12,924**	**21,301**	**26,000**
Borrowings - long term	-	-	-	-
Other non-current liabilities	921	921	921	921
Total non-current liabilities	**921**	**921**	**921**	**921**
Net Assets	**18,064**	**35,623**	**67,048**	**103,846**
Paid-in capital	994	994	994	994
Capital reserves	17,070	34,635	66,060	102,858
Total shareholder's equity	**18,064**	**35,629**	**67,054**	**103,852**

Cash Flow Statement	2025	2026E	2027E	2028E
Cashflow from operations	**7,701**	**11,543**	**24,279**	**35,794**
Net income	9,532	18,559	33,511	40,563
Depreciation & Amortization	399	499	599	699
Change in working capital	(1,963)	(7,508)	(9,831)	(5,468)
Others	(266)	(6)	-	-
Cashflow from investing	**(1,359)**	**(1,000)**	**(1,000)**	**(1,000)**
Capex	(1,320)	(1,000)	(1,000)	(1,000)
Others	(40)	-	-	-
Cashflow from financing	**(197)**	**(994)**	**(2,086)**	**(3,766)**
Dividend paid	(319)	(994)	(2,086)	(3,766)
Others	122	-	-	-
Changes in cash	**6,331**	**9,549**	**21,194**	**31,028**

Ratio Analysis	2025	2026E	2027E	2028E
Growth %				
Net Sales	187%	119%	69%	23%
Gross Profit	207%	123%	64%	21%
EBIT	243%	125%	63%	21%
EBITDA	233%	121%	62%	21%
Net income	236%	95%	81%	21%
Margins %				
Gross Margin	47.8%	48.9%	47.4%	46.8%
EBIT Margin	43.1%	44.4%	42.7%	42.1%
EBITDA Margin	44.7%	45.3%	43.3%	42.8%
Net Profit Margin	38.4%	34.2%	36.5%	36.0%
Return %				
ROE	72.2%	69.1%	65.3%	47.5%
ROA	50.0%	49.3%	48.3%	36.9%
Gearing %				
Net Debt/Equity	-45%	-50%	-58%	-67%
Liabilities/Equity	43%	39%	33%	26%

Segment Analysis	2025	2026E	2027E	2028E
Revenue				
Point-to-Point	**24,762**	**54,227**	**91,798**	**112,612**
Domestic	874	1,005	1,206	1,448
Overseas	23,888	53,221	90,592	111,164
Others	**80**	**88**	**97**	**107**
Revenue YoY%				
Point-to-Point	**188%**	**119%**	**69%**	**23%**
Domestic	-51%	15%	20%	20%
Overseas	251%	123%	70%	23%
Others	**46%**	**10%**	**10%**	**10%**
Revenue Mix%				
Point-to-Point	**100%**	**100%**	**100%**	**100%**
Domestic	4%	2%	1%	1%
Overseas	96%	98%	99%	99%
Others	**0%**	**0%**	**0%**	**0%**

Valuation	2025	2026E	2027E	2028E
P/E	54.8	28.2	15.6	12.9
P/B	28.9	14.7	7.8	5.0
P/S	21.0	9.6	5.7	4.6
EV/EBITDA	46.3	20.9	12.9	10.7

Source: Company data, Morgan Stanley Research (E) estimates

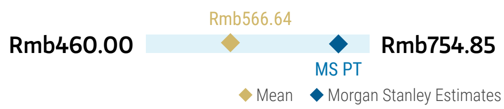
Risk Reward – Eoptolink Technology Inc Ltd (300502.SZ)

Key market share gainer in 800G and 1.6T; OW

PRICE TARGET Rmb710.00

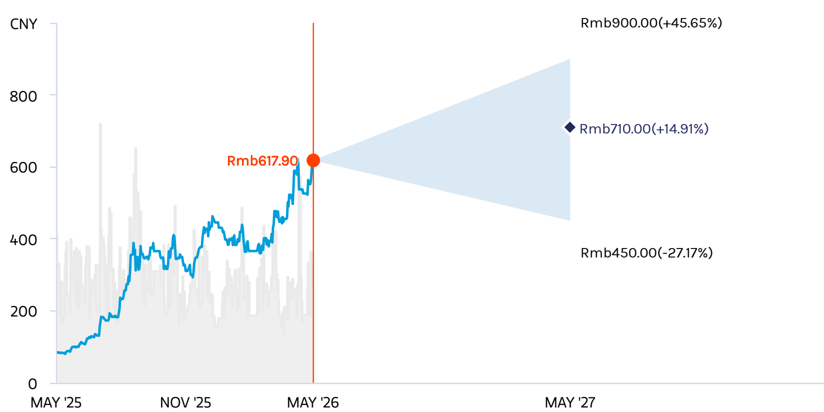
Residual income model, probability-weighted 30% bull, 50% base, 20% bear - skew reflects expected timeline for large-scale CPO application.
Key assumptions:
- CoE and terminal growth rate: 10% and 3.5% across scenarios
- High-end transceivers demand CAGR in 2026-2028e: bull 46%, base 43%, bear 43%
- 2025-35e net profit CAGR: bull 28%, base 25%, bear 20%.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



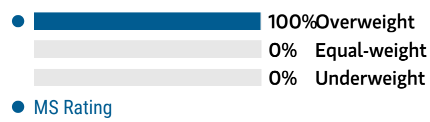
Key: Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- We believe scale-up and scale-out technologies will be widely applied in data center architecture, which could significantly boost the demand for high-end (800G and 1.6T) transceivers.
- We believe the company is a key market share gainer in both the 800G and 1.6T transceiver segments. With upbeat 1Q26 results and large overseas exposure, it is highly likely to generate above-industry growth, which is a key re-rating driver for the stock.
- CPO risk is well known after the recent active debate, so we see lower risk of de-rating for this reason. The rapid earnings growth momentum could become a key re-rating catalyst.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: *Positive*

View descriptions of Risk Rewards Themes here

BULL CASE Rmb900.00

22x bull case 2027e EPS

Stronger 800G and 1.6T demand: We assume stronger demand for 800G and 1.6T, which would be key catalysts for the company in 2026. CPO disruption arrives after 2028.

BASE CASE Rmb700.00

21x base case 2027e EPS

Strong growth momentum in 2026: We expect 800G and 1.6T to continue to drive earnings growth for Eoptolink. With continued market share gain momentum, we believe Eoptolink will benefit from the 800G and 1.6T cycles in 2026. CPO to achieve manufacturing breakthrough by 2027 with large-scale application to kick off in 2H27 or 2028.

BEAR CASE Rmb450.00

17x bear case 2027e EPS

Intense competition from silicon photonics players and weaker-than-expected order: We assume slower demand for 800G and 1.6T products. Eoptolink also could face intense competition from silicon photonics players, which would result in lower share, margins, and ASPs. In this case, it would also de-rate further. CPO achieves manufacturing breakthrough in 2H26 and 2027 - disruption arrives earlier than expected.

Risk Reward – Eoptolink Technology Inc Ltd (300502.SZ)

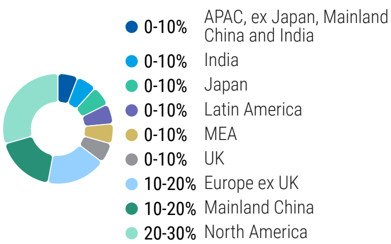
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Domestic revenue YoY (%)	20.0	15.0	20.0	20.0
Overseas telecom revenue YoY (%)	0.0	0.0	0.0	0.0

INVESTMENT DRIVERS

- 400G, 800G and 1.6T transceiver demand in the datacom market
- Global telecom capex trend
- Developments in Co-Packaged Optics

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

3/5 MOST	3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Later breakthrough in CPO
- Greater-than expected 800G/1.6T demand
- Faster-than-expected share gains in the datacom market
- Better cost control, leading to margin improvement

RISKS TO DOWNSIDE

- Earlier breakthrough in CPO or other new technology
- Slower-than-expected share gains in the datacom market owing to intense competition/geopolitical tension
- Weaker-than-expected demand for 800G and 1.6T products
- Component shortage

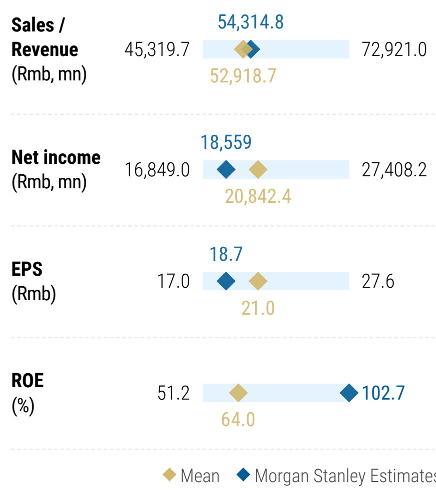
OWNERSHIP POSITIONING

Inst. Owners, % Active 80.3%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Source: Refinitiv, Morgan Stanley Research

TFC: Financial Summary

Exhibit 25: TFC: Financial Summary

Financial Summary (Rmb mn)

TFC (300394.SZ)

Income statements	2025	2026E	2027E	2028E
Net sales	**5,163**	**10,291**	**14,604**	**19,308**
COGS	(2,377)	(5,147)	(7,593)	(10,134)
Gross profit	**2,786**	**5,143**	**7,011**	**9,174**
Selling expenses	(21)	(38)	(165)	(218)
ADM expenses	(131)	(288)	(467)	(618)
R&D expenses	(267)	(675)	(730)	(965)
Operating Inc.	**2,311**	**4,009**	**5,537**	**7,226**
Non-op	33	37	93	93
Pre-tax Income	**2,344**	**4,046**	**5,630**	**7,319**
Income Tax	(326)	(603)	(844)	(1,098)
Net income	**2,017**	**3,443**	**4,785**	**6,221**
EPS (RMB)	2.59	4.43	6.16	8.00
Balance sheet	**2025**	**2026E**	**2027E**	**2028E**
Cash	2,997	6,202	10,411	15,715
Trade receivables	2	4	5	7
Inventories	457	990	1,460	1,949
Other current assets	1,393	1,393	1,393	1,393
Current Assets	**4,848**	**8,588**	**13,269**	**19,064**
Property, plant and equipment	1,318	1,103	867	612
Intangible assets	119	119	119	119
Other assets	163	163	163	163
Total Assets	**6,449**	**9,973**	**14,419**	**19,959**
Trade payables	495	1,072	1,582	2,111
Other payables	412	412	412	412
Bank loans - due within one year	2	2	2	2
Current Liabilities	**909**	**1,486**	**1,995**	**2,525**
Bank loans - due after one year	-	-	-	-
Other liabilities	28	75	155	235
Total Liabilities	**937**	**1,561**	**2,151**	**2,760**
Share capital	777	777	777	777
Reserves	4,729	7,628	11,484	16,414
Shareholders' equity	**5,506**	**8,405**	**12,262**	**17,192**
Total Liab./Shrhldr's Equity	**6,449**	**9,973**	**14,419**	**19,959**
Cashflow statements	**2025**	**2026E**	**2027E**	**2028E**
Cashflow from operations	**1,868**	**3,949**	**5,338**	**6,795**
Profits from operation	2,344	4,046	5,630	7,319
Depreciation & Amortization	396	416	436	456
Change in Working Capital	843	42	37	39
Others	(1,714)	(555)	(764)	(1,018)
Cashflow from investing	**(265)**	**(200)**	**(200)**	**(200)**
(Purchases) sale of PPE	(418)	(200)	(200)	(200)
Others	153	-	-	-
Cashflow from financing	**(673)**	**(544)**	**(929)**	**(1,291)**
Stock/bond issuance	36	-	-	-
Dividends & Interests	(667)	(544)	(929)	(1,291)
Others	(42)	-	-	-
Net change in cash	**885**	**3,205**	**4,209**	**5,305**

Ratio analysis	2025	2026E	2027E	2028E
YoY growth %				
Sales	59%	99%	42%	32%
Operating profits	60%	73%	38%	31%
Pretax profits	53%	73%	39%	30%
Net profits	50%	71%	39%	30%
Margins %				
Gross margin	54.0%	50.0%	48.0%	47.5%
Opex	9.2%	11.0%	10.1%	10.1%
Pretax margin	45.4%	39.3%	38.6%	37.9%
Net margin	39.1%	33.5%	32.8%	32.2%
Return %				
ROAE	43%	50%	46%	42%
ROAA	36%	42%	39%	36%
Gearing %				
Net Debt/Equity	-54%	-74%	-85%	-91%
Liabilities/Equity	17%	19%	18%	16%
Liabilities/Assets	15%	16%	15%	14%
Working capital				
AR/NR Turnover (days)	28	0	0	0
AP/NP Turnover (days)	63	56	64	66
Inventory Days	62	51	59	61
Cash conversion cycle (days)	27	(4)	(5)	(5)
Segment analysis	**2025**	**2026E**	**2027E**	**2028E**
Revenue				
Passive	2,084	2,710	3,523	4,227
Active	2,998	7,500	11,000	15,000
Others	81	81	81	81
Revenue mix				
Passive	40%	26%	24%	22%
Active	58%	73%	75%	78%
Others	2%	1%	1%	0%
Gross Margin				
Passive	63.7%	63.0%	63.0%	63.0%
Active	46.6%	45.0%	43.0%	43.0%
Others	75.6%	75.6%	75.6%	75.6%

Valuation	2025	2026E	2027E	2028E
P/E	118.5	69.4	50.0	38.4
P/B	43.4	28.4	19.5	13.9
P/S	46.3	23.2	16.4	12.4

Source: Company data, Morgan Stanley Research (E) estimates

Risk Reward – Suzhou TFC Optical Communication Co Ltd. (300394.SZ)

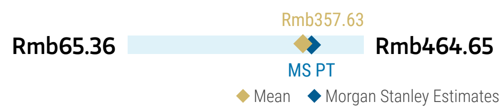
Positives largely priced in; EW

PRICE TARGET Rmb371.00

Residual income model, probability-weighted 30% bull, 50% base, 20% bear - skew reflects expected timeline for large-scale CPO application.
Key assumptions:

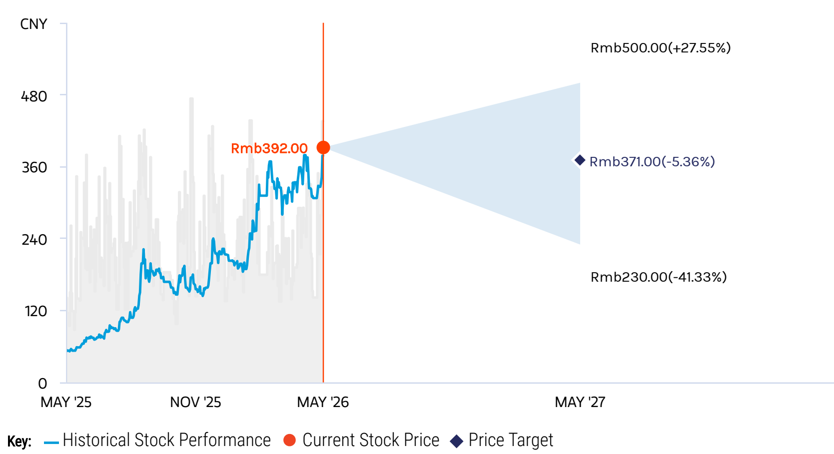
- CoE and terminal growth rate: 10% and 3.5% across scenarios
- High-end transceivers demand CAGR in 2026-2028e: bull 46%, base 43%, bear 43%
- 2025-35e net profit CAGR: bull 34%, base 30%, bear 25%.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART

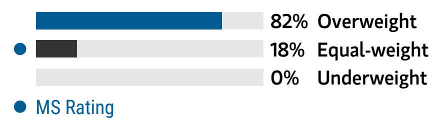


Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- TYFC is a leading passive component supplier in the global transceiver supply chain. Thus, we believe it will continue to benefit from strong growth in the AI transceiver industry.
- We maintain our EW rating because we believe the recent share price rally has already reflected the potential positive impact from accelerated CPO development.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: *Positive*

View descriptions of Risk Rewards Themes here

BULL CASE Rmb500.00

68x 2027e bull case EPS

Stronger 800G and 1.6T demand: We assume stronger demand for 800G and 1.6T products and faster-than-expected market share gains, which would be a key catalyst for the company. CPO disruption arrives after 2028.

BASE CASE Rmb350.00

57x 2027e base case EPS

800G products and 1.6T products to drive growth: We expect 800G and 1.6T products to drive robust growth in 2026-27. CPO to achieve manufacturing breakthrough by 2027 with large-scale application to kick off in 2H27 or 2028.

BEAR CASE Rmb230.00

47x 2027e bear case EPS

Intense market competition and weaker-than-expected orders: We assume slower demand for 800G and 1.6T products. We assume intense market competition along with pricing pressure leads to lower gross margins and earning misses in the near future. We also note that TFC's new production line for high-speed optical engines has low margins currently. CPO achieves manufacturing breakthrough in 2H26 and 2027 - disruption arrives earlier than expected.

Risk Reward – Suzhou TFC Optical Communication Co Ltd. (300394.SZ)

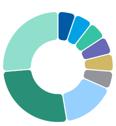
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Passive segment revenue YoY (%)	32	30	30	20
Active segment revenue YoY (%)	81	150	47	36
Passive GPM% (%)	63.7	63.0	63.0	63.0
Active GPM% (%)	46.6	45.0	43.0	43.0

INVESTMENT DRIVERS

- 800G optical engine shipment and revenue growth
- Cloud and telco capex
- Auto LiDAR adoption rate
- Developments in Co-Packaged Optics

GLOBAL REVENUE EXPOSURE



- 0-10% APAC, ex Japan, Mainland China and India
- 0-10% India
- 0-10% Japan
- 0-10% Latin America
- 0-10% MEA
- 0-10% UK
- 10-20% Europe ex UK
- 20-30% Mainland China
- 20-30% North America

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster-than-expected optical engine adoption
- Stronger 800G and 1.6T ramp-up
- Later breakthrough in CPO
- Faster-than-expected LiDAR adoption
- Stronger-than-expected cloud capex growth

RISKS TO DOWNSIDE

- Geopolitical tensions, delaying 800G and 1.6T optical engine development
- Slower telco and cloud capex
- New optical engine entrants
- Earlier breakthrough in CPO or other new technology
- Component shortage

OWNERSHIP POSITIONING

Inst. Owners, % Active 51.9%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e

	Low	Morgan Stanley Estimates	Mean	High
Sales / Revenue (Rmb, mn)	9,979.0	14,603.7	13,862.0	22,322.2
Net income (Rmb, mn)	3,896.0	4,785	5,103.2	7,927.0
EPS (Rmb)	5.0	6.2	6.6	10.2

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

Disclosure Section

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(as of April 30, 2026)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1546	42%	467	51%	30%	709	44%
Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb203.80
BYD Electronics (0285.HK)	O (04/28/2023)	HK$28.76
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb8.61
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb17.69
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb617.90
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT$560.00
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb5.88
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb33.45
Largan Precision (3008.TW)	E (10/17/2025)	NT$3,135.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb8.62
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb8.88
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK$8.97
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb73.50
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK$45.32
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb59.52
Sunny Optical (2382.HK)	E (03/23/2026)	HK$66.40
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb392.00
Wingtech Technology Co Ltd (600745.SS)	E (11/10/2023)	Rmb19.64
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK$31.72
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb404.70
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	E (04/20/2023)	HK$253.80
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb141.48
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb38.81
Zhongji Innolight Co Ltd (300308.SZ)	++	Rmb1,078.00
ZTE Corporation (0763.HK)	E (03/11/2024)	HK$26.14
ZTE Corporation (000063.SZ)	U (07/02/2021)	Rmb37.56
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT$2,675.00
Advantech (2395.TW)	O (01/20/2021)	NT$465.00
AirTAC International (1590.TW)	O (04/16/2025)	NT$1,465.00
AU Optronics (2409.TW)	E (02/10/2026)	NT$19.55
Bizlink (3665.TW)	O (03/10/2025)	NT$2,250.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb4.22
Chenbro (8210.TW)	O (07/23/2025)	NT$1,460.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT$2,260.00
E Ink Holdings Inc. (8069.TWO)	O (05/11/2026)	NT$226.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT$68.20
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT$374.50
Innolux (3481.TW)	E (04/07/2025)	NT$35.40
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT$5,010.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb32.31
Radiant Opto-Electronics Corporation (6176.TW)	E (03/01/2024)	NT$100.50
Sanan Optoelectronics (600703.SS)	U (08/21/2023)	Rmb17.45
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.28

Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb7.72
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb159.00
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT$28.00
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT$679.00
Compal Electronics (2324.TW)	U (04/23/2025)	NT$30.25
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK$9.96
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT$327.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT$1,430.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb71.60
Lenovo (0992.HK)	E (11/16/2025)	HK$13.06
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT$2,450.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT$847.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT$77.00
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT$334.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb93.32
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb331.36
Unimicron (3037.TW)	O (02/23/2026)	NT$881.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT$138.00
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT$5,435.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT$462.00
Zhen Ding (4958.TW)	E (08/02/2022)	NT$436.50
Sharon Shih		
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT$2,555.00
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT$1,015.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT$190.50
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT$2,155.00
Fositek Corp (6805.TW)	O (06/25/2025)	NT$1,780.00
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb68.60
Foxconn Technology (2354.TW)	U (04/23/2025)	NT$59.00
GoerTek Inc (002241.SZ)	U (04/23/2025)	Rmb25.33
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT$244.50
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT$2,945.00
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb16.40
Lite-On Technology (2301.TW)	E (01/15/2025)	NT$207.00
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb75.40
Sunonwealth Electric Machine Industry Co (2421.TW)	E (02/23/2024)	NT$145.50
Tong Hsing (6271.TW)	E (03/18/2019)	NT$183.50
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT$358.50

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.

INDUSTRY COVERAGE: Telecom & Networking Equipment

COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/13/2026)
Meta A Marshall		
Arista Networks (ANET.N)	O (10/31/2023)	US$140.69
Axon Enterprise Inc (AXON.O)	O (12/03/2024)	US$376.82
Ciena Corporation (CIEN.N)	E (10/10/2025)	US$577.90
Cisco Systems Inc (CSCO.O)	O (04/08/2024)	US$101.87
Coherent Corp (COHR.N)	E (12/13/2023)	US$403.71
Corning Inc (GLW.N)	E (06/13/2024)	US$206.51
F5 Inc (FFIV.O)	E (04/12/2022)	US$357.40
Keysight Technologies Inc (KEYS.N)	E (10/10/2025)	US$361.19
Lumentum Holdings Inc (LITE.O)	E (05/12/2021)	US$1,030.37

Motorola Solutions Inc (MSI.N)	O (12/17/2025)	US$397.89
Zebra Technologies Corporation (ZBRA.O)	E (12/02/2024)	US$246.76

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